Fooled by Randomness — Hard Fill-in-the-Blank Quiz (Part I) — ANSWER KEY

Prologue · Ch.1 · Ch.2 · Ch.3 · Ch.4 · Ch.5 · Ch.6 · Ch.7 | Name: _____ Score: ____/30

Prologue — The Confusion Table

Table P.1 exact cell labels; 'lucky fool' definition.

1. In Table P.1, the row labelled 'Randomness' in the Luck/Skill axis is paired with the column '[Skill]' — i.e. what a randomness-fool mistakes it for.

2. Taleb defines a '[lucky fool]' as a person who benefits from a lucky run and believes it reflects skill, and who is the book's central character study.

3. The Prologue's confusion matrix has two axes: [Luck] vs. [Skill], and Randomness vs. Determinism, forming four cells of mistaken attribution.

Ch.1 — If You're So Rich, Why Aren't You So Smart?

Nero Tulip's exact income range; John's year of blowup; serotonin/dentist comparison.

4. Nero Tulip, the conservative trader, kept savings in [T-bills] and earned an annual income ranging from $[300,000] to $[2,500,000] — never risking his 'nest egg.'

5. John, the aggressive high-yield trader, blew up in [1998] (year), losing nearly everything — an outcome Taleb uses to illustrate alternative histories.

6. Taleb argues that serotonin levels affect our perception of [success / social rank], creating a pecking-order dynamic that makes winners feel deserving even when luck drove the result.

7. Taleb contrasts a [dentist] (stable, dull income) with a [rock musician] (rare massive payoff) to illustrate how our emotions misjudge randomness-driven careers.

Ch.2 — A Bizarre Accounting Method (Alternative Histories)

Russian Roulette payoff; Jean-Patrice; Solon's warning.

8. Taleb's Russian Roulette thought experiment offers $[10,000,000] for a [1]-in-6 chance of death, and asks whether the outcome (surviving) validates the decision.

9. The character [Jean-Patrice] embodies the wisdom of [Solon]: warning the wealthy king Croesus never to call a man happy until he has seen his death, because fortune can reverse at any moment.

10. 'Alternative histories' means evaluating a strategy across all [possible] paths it could have taken, not just the single realized outcome — the core of path-dependent thinking.

Ch.3 — A Mathematical Meditation on History (Monte Carlo)

Table 3.1 exact percentages; noise ratios; negative-emotion multiplier.

11. In Table 3.1, Taleb's dentist checking P&L; every year has a [93]% probability of seeing a gain, but checking every minute drops that probability to [50.17]%.

12. At the 1-hour observation frequency, the ratio of noise to signal is [30]:1; at the 1-second frequency it explodes to [1,796]:1, making short-interval monitoring emotionally destructive.

13. Taleb cites research suggesting negative emotional reactions are approximately [2.5]× stronger than positive ones — meaning the dentist's [239] unpleasant minutes per day outweigh the 241 pleasant ones even if counts are nearly equal.

14. The term [ergodicity] refers to a stochastic process where a system's long-run time average equals its ensemble average — a property Taleb says markets often violate.

Ch.4 — Randomness, Nonsense & the Scientific Intellectual

Vienna Circle members; Dada engine; Reverse Turing Test.

15. Taleb names three figures of the [Vienna Circle] as intellectual heroes: Wittgenstein, Popper, and Carnap — united by their insistence on testable, falsifiable statements.

16. The 'Dada engine,' built by [Andrew C. Bulhak] at [Monash] University, generated random sentences structurally indistinguishable from postmodern academic prose.

17. Taleb proposes a '[Reverse] Turing Test': instead of a machine fooling a human, a human tries to write prose so meaningless it fools a reader into thinking it is machine output — satirising [Hegel], whom he calls the father of pseudothinkers.

Ch.5 — Survival of the Least Fit & the Firehouse Effect

Carlos's loss; John's exact portfolio/bonus figures; cross-sectional problem.

18. Carlos, the emerging-markets trader who joined the bank in [1992], lost approximately $[300,000,000] in a single summer during the 1998 crisis.

19. John (the high-yield trader in Ch.5) had borrowed $36M from his bank, held a $50M portfolio, earned a $10M pretax bonus, and had a net worth of $16M at age 35 — before losing nearly everything in 1998.

20. The 'Firehouse effect,' named after trader Marty O'Connell, describes how survivors in a field share the same (visible) traits, making those traits appear causal even when they are merely correlated with surviving the cross-sectional problem.

Ch.6 — Skewness and Asymmetry

Table 6.1 and 6.2 exact figures; Gould's median essay; Peso problem.

21. Steven Jay Gould was diagnosed with mesothelioma and wrote 'The Median Is Not the Message,' arguing that the median survival time of 8 months masked a long right tail he could exploit.

22. Table 6.1: a trade with 999/1,000 chance of +$1 and 1/1,000 chance of –$10,000 has an expected value of –$9.001 — illustrating a skewed-negative bet.

23. Table 6.2: a strategy yielding +1% with 70% probability and –10% with 30% probability has a negative expected return of –2.3 per period — the type of 'skewed bet' that fools traders into seeing it as consistently profitable.

24. The 'Peso problem' refers to rare events in a currency (originally the Mexican peso) that make a strategy appear low-risk until the tail event materialises, masking the true distribution — approximately 90% of options expire worthless.

Ch.7 — The Problem of Induction & Popper's Demarcation

Hume's black swan species; Niederhoffer; Popper's two theory categories.

25. Hume's original black swan was the discovery of Cygnus atratus (black swan) in Australia — a real species whose existence refuted the universal inductive claim that all swans are white.

26. Taleb calls Victor Niederhoffer 'finance's Francis Bacon' for his empirical, data-driven approach — but argues his inductive method left him fatally exposed to the very black swans he ignored.

27. Popper's demarcation criterion divides theories into two categories: falsified (already proven wrong) and not yet falsified (not yet proven wrong) — with no third category of 'confirmed true.'

28. Pascal's Wager is cited as an example of a asymmetric bet: the downside of believing in God if He does not exist is trivial, while the upside if He does exist is infinite (salvation).

29. Taleb argues a stop-loss rule functions as an empirical falsificationist test: it forces the trader to exit a position when the market falsifies the hypothesis behind the trade.

30. Part II of the book is subtitled 'Monkeys on Typewriters' — referring to the statistical metaphor that given enough random agents, one will eventually produce a work of Shakespeare.